07 Ch 07 — Securitization

Asked in last 3 papers: Sep 2025 Q3(c) 4m blockchain risks; Jan 2026 Q6(c) 4m instruments (PTC / PTS / strips); May 2026 Q3(c) 4m securitization of NPAs. Theory-only chapter.

1. Introduction

→ *Firms with large **credit sales** carry huge receivables yet may face a **liquidity crunch**.*

→ *Borrowing changes the **debt-equity ratio**: may be unacceptable to stakeholders, adds financial risk, hurts future borrowing capacity. Securitization addresses this.*

2. Concept and Definition

→ *Creation of a **pool of assets** from illiquid financial assets (receivables, loans) = **repackaging / rebundling of illiquid assets into marketable securities**. E.g. auto loans, credit card receivables, residential mortgages, other future receivables.*

→ ***RBI:** transactions where **credit risks** in assets are **redistributed** by repackaging them into tradable securities.*

***Features** (6):*

→ ***Creation of financial instruments** — additional financial product in the market, backed by collaterals.*

→ ***Bundling and unbundling** — combining assets in one pool = bundling; breaking into instruments of fixed denomination = unbundling.*

→ ***Tool of risk management** — on **non-recourse** basis, default risk shifts from originator to investor.*

→ ***Structured finance** — instruments tailor-structured to the investor's risk-return profile.*

→ ***Trenching** — portfolio split into parts **(tranches)** by risk and return; each tranche has a different risk/return.*

→ ***Homogeneity** — securities within a tranche are homogenous; small denominations suit small investors.*

3. Benefits of Securitization

***3.1 Originator** (entity selling assets collectively to the SPV):*

→ ***Off-balance sheet financing** — releases capital tied up in assets → improved liquidity → business expansion.*

→ ***More specialisation in main business** — loan servicing moves to SPV; under non-recourse even default burden shifts.*

→ ***Improves financial ratios** — esp. banks/FIs: manage **Capital-to-Weighted Asset Ratio**.*

→ ***Reduced borrowing cost** — papers are rated due to **credit enhancement**, issued at lower interest; originator earns a spread.*

3.2 Investor:

→ ***Diversification of risk** — securities backed by different asset types.*

→ ***Regulatory requirement** — asset-backed securities of a particular industry (e.g. micro) help banks meet **Priority Sector Lending** norms of RBI.*

→ ***Protection against default** — under **recourse**, originator makes good the loss; insurance may also compensate.*

4. Participants in Securitization

Participant	Role (SM)
4.1 Primary participants (main parties)	
Originator	*Initiator / securitizer; sells assets in its books and receives the funds; transfers **both legal and beneficial interest** to the SPV.*
Special Purpose Vehicle (SPV)	*Created only to execute the deal; holds **legal title** of assets; form: company, firm, society or trust. Main objective: **remove and ring-fence** the assets from originator's balance sheet. Makes **upfront payment** to originator (key position); issues securities — **ABS** or **MBS** — to investors.*
Investors	*Buyers of securitized papers: individuals, MFs, PFs, insurance companies, FIs. Get money back as **interest and principal** per agreed terms.*
4.2 Secondary participants	
Obligors	*Main root of the process; owe money to the firm (assets of originator); dues transferred to SPV; their **credit standing** is of paramount importance.*
Rating agency	*Rating is based on the pool, not the originator. Assesses: **strength of cash flow**; mechanism for timely interest and principal; **credit quality of obligors**; **liquidity support**; **strength of legal framework**. Secondary but vital.*
Receiving & Paying Agent (RPA)	*Also Servicer / Administrator: collects from obligors, passes to SPV, follows up defaulters, initiates legal action. Generally the originator or its affiliates.*
Agent or Trustee	*Oversees that all parties perform per agreement; looks after **investors' interest**.*
Credit enhancer	*Investors have limited/no recourse, so seek extra comfort (also aids rating and marketability). **Originator** → over-collateralisation or cash collateral; **third party** (e.g. bank) → letter of credit or surety bonds.*
Structurer	*Investment banker / **arranger**; brings parties together; ensures legal, regulatory, accounting and tax compliance.*

5. Mechanism of Securitization (steps)

1. ***5.1 Creation of pool of assets*** — *segregate assets backed by similar mortgages (for MBS) by interest rate, risk, maturity, concentration units.*
2. ***5.2 Transfer to SPV*** — *pooled assets transferred to the SPV created for this purpose.*
3. ***5.3 Sale of securitized papers*** — *SPV designs instruments by nature of interest, risk, tenure, pool; e.g. pass through / pay through.*
4. ***5.4 Administration of assets*** — *sub-contracted back to **originator**; collects principal and interest, transfers to SPV; acts as servicer/conduit for an agreed fee.*
5. ***5.5 Recourse to originator*** — *unless specified otherwise, on debtor default receivables go back to originator from SPV.*
6. ***5.6 Repayment of funds*** — *SPV pays investors interest and principal from the pool.*
7. ***5.7 Credit rating to instruments*** — *sometimes done before sale to assess risk.*

Note (app-written): SM 5.3 writes "Pass Through Security or Pay Through Certificates (PTC)", whereas SM 7.1–7.2 use PTC = Pass Through Certificates and PTS = Pay Through Security. Use the section 7 naming in answers.

6. Problems in Securitization (esp. India)

→ **6.1 Stamp duty** — on mortgage debt under Transfer of Property Act, 1882, up to **12%** in some states. PTCs do not evidence debt (only receivables) → **exempt**. Some states have reduced duty on securitized instruments.

→ **6.2 Taxation** — no specific Income Tax provision; views differ: SPV taxed as trustee in **representative capacity** vs. investors taxed on their share. Capital gains on pass-on payments unclear.

→ **6.3 Accounting** — reporting in originator's books; receivables removed from balance sheet; problem esp. when transfer is **without recourse**.

→ **6.4 Lack of standardisation** — each originator uses its own documentation/administration format.

→ **6.5 Inadequate debt market** — no well-developed debt market → weak secondary market for ABS.

→ **6.6 Ineffective foreclosure laws** — lenders find it hard to transfer property on default → MBS less attractive.

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TYK T2: Main problems in securitisation in Indian context → ICAI: refer para 6 (the six points above).

7. Securitization Instruments

Asked: Jan 2026 Q6(c) 4m

Divided by **maturity characteristics** into three:

7.1 Pass Through Certificates (PTCs)

→ Originator transfers the **entire cash receipt** (interest + principal) from assets sold → **direct claim** of investors on all securitized assets via SPV.

→ Investors hold **proportional beneficial interest** in assets held in trust by SPV.

→ **Prepayment** of principal distributed proportionately to all holders.

→ On final payment, **all securities terminate simultaneously** (single maturity).

→ **Skewness of cash flows** in early stage if principal repaid before schedule.

7.2 Pay Through Security (PTS) — overcomes PTC's limitation of all cash flows being passed on and of **single maturity**.

→ SPV issues **debt securities backed by the assets** → can restructure **tranches** from varying maturities of receivables.

→ Permits **desynchronisation** of servicing of securities from asset cash flows.

→ SPV may **reinvest surplus** funds short term (e.g. on early retirement of receivables, for short-term yield).

→ Freedom to issue several debt tranches with **varying maturities**.

Point	PTC (Pass Through)	PTS (Pay Through)
Cash flows	All passed on immediately to investors	Desynchronised from asset cash flows
Investor's claim	Direct, proportional beneficial interest in assets	SPV's debt securities backed by the assets
Maturity	Single maturity; all terminate together	Several tranches with varying maturities
Prepayment / surplus	Prepayment passed proportionately; early-stage skewness	Surplus can be reinvested short term

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TYK T1: Differentiate between PTS and PTC → ICAI: refer para 7 (table above).

7.3 Stripped Securities — cash flows of underlying securities divided into two or more new securities:

→ **Interest Only (IO)** — holder gets only interest. **Principal Only (PO)** — holder gets only principal.
→ **Highly volatile** → less preferred by investors.
→ **Rates rise** → PO price falls (borrowers postpone paying cheaper loans); IO value rises (more interest calculated).
→ **Rates fall** → borrowers prepay to borrow fresh at lower rates; IO tends to fall due to prepayments of principal.
→ Prices of IOs and POs mainly determined by **perception of investors**.

Note (app-written): SM p.10 sentence "However, when interest rate due to prepayments of principals, IO's tends to fall" is incomplete; read as: when interest rates fall, prepayments of principal rise and IO value falls (this matches the SM's own prepayment logic on p.9).

8. Pricing of Securitized Instruments

Price must be acceptable to both originator and investor.

→ **8.1 Originator's angle** — priced at a rate (outflow) the originator can **amortise over time** by investing the amount raised.
→ **8.2 Investor's angle** — price = **expected future cash flows discounted** at the YTM of a **comparable security** (credit quality, average life). Yield can be read off the **yield curve**, adjusted by **spread points** for credit quality.

9. Risks in Securitization

→ **9.1 Credit / counterparty risk** — prime risk: bankruptcy and non-performance of the **servicer**.
→ **9.2 Legal risk** — new in India; no conclusive judicial precedent or explicit statute → dispute on legal ownership → uncertain investor pay-outs.
→ **9.3 Market risks** (external to the transaction):
  → **(a) Macroeconomic** — industry downturn / adverse asset price moves; e.g. fall in industrial production cuts CV use → CV loan repayments hit; fall in CV prices → wilful default and repossession.
  → **(b) Prepayment** — lower rates → more retail loan prepayment → **reinvestment risk** (money received early, cannot reinvest at same yield).
  → **(c) Interest rate** — floating-rate pool vs fixed pay-outs (or vice versa) → mismatch; even at **100% collection efficiency** inflow may fall short. Hedge partly with **interest rate swaps**.

10. Tokenization — Blockchain first

→ **Blockchain / Distributed Ledger Technology (DLT)**: shared, peer-to-peer, decentralised open ledger, **no trusted third party**.
→ **Append-only** — entries permanent; transactions **irreversible**; any change recorded as a new transaction.
→ Decentralised = not controlled by any bank, corporation or government; chain of blocks, each block = digital information in a public database.
→ Analogy: a shared **Google Doc** — distributed, not copied; everyone has access at once; changes recorded in real time, fully transparent.

Working of a blockchain transaction: transaction initiated (e.g. sending money) → broadcast via network → network **validates using cryptography** → represented online as a block → block added to existing chain → transaction complete.

10.1 Applications of Blockchain

→ **Financial services** — automated trade lifecycle / transaction log of any asset transfer, physical or digital (laptops, smartphones, automobiles, real estate).
→ **Healthcare** — secure data sharing; privacy, security, interoperability; no third party, lower overheads.
→ **Government** — land registration, vehicle registration, e-voting; transparency, better monitoring and audit.
→ **Travel industry** — money transactions; storing passports/IDs, reservations; travel insurance, loyalty and rewards.
→ **Economic forecasts** — decentralised prediction markets, decentralised voting, stock trading.

10.2 Risks associated with Blockchain

Asked: Sep 2025 Q3(c) 4m

→ **Wider risk perspective** — members have different **risk appetites** → conflict in designing monitoring controls; who manages risk if no one is in charge; **accountability**.

→ **Reliability depends on technology** — if the **consensus mechanism** is tampered with, ledger information becomes inaccurate and unreliable.

→ **No central authority** to administer/enforce protocol amendments → difficult process control; users of public blockchains struggle to understand **general IT controls** and their effectiveness.

→ **Information overload** — huge, frequently updated data challenges monitoring; hard to find **competent people** for monitoring controls.

10.3 Meaning of Tokenization

→ Converting **tangible and intangible assets into blockchain tokens**; effective in conventional industries like real estate, artwork.

10.4 Tokenization and Securitization — similarities

Both convert illiquid assets into liquid, tradable products.

→ **Liquidity** — inject liquidity for otherwise illiquid assets.

→ **Diversification** — help investors diversify, manage risk, optimise returns.

→ **Trading** — both tradable → generate wealth.

→ **New opportunities** — fee income for financial institutions and agencies.

11. Securitization in India

Asked: May 2026 Q3(c) 4m (NPAs)

→ **Citi Bank** pioneered it in India by bundling **auto loans**; later sales tax deferrals, aircraft receivables etc.

→ **SARFAESI Act, 2002** (Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest) — to tackle **NPAs without approaching the Court**.

→ Now an important funding source for **micro finance companies and NBFCs**; **commercial MBS** emerging.

→ Market **dominated by a few players** — ICICI Bank, HDFC Bank, NHB.

→ **CRISIL**: volumes may reach near pre-pandemic highs of **₹ 1.9 trillion** (FY19 & FY20) once macro-situation and rates stabilise; key funding for non-banks, investment avenue for banks growing retail assets.

→ **SEBI** allows **FPIs** to invest in securitized debt of **unlisted companies** up to a limit.

Note (app-written): the SM has no separate section on securitizing NPAs. For a May 2026-type question, build the answer from SM points only: balance-sheet benefit → 3.1 (off-balance sheet financing, capital release, Capital-to-Weighted Asset Ratio); challenges → 6.2 taxation, 6.3 accounting (esp. without recourse), 6.6 foreclosure laws, 9.2 legal risk, 8.2 pricing (discounting best estimate of expected cash flows); India context → SARFAESI Act, 2002.

Exam steps (4m theory): 1 define (repackaging illiquid assets into marketable securities / RBI definition) → 2 list the SM points with the bold key term → 3 one line each in SM wording → 4 for "differentiate", use the PTC vs PTS table.

Lists to know cold: features 6 · originator benefits 4 · investor benefits 3 · primary 3 + secondary 6 participants · mechanism 7 steps · problems 6 · instruments 3 · risks 3 (+3 market) · blockchain applications 5 · blockchain risks 4 · tokenization similarities 4.

Past papers

7 Securitization — what ICAI asked (Sep 2025, Jan 2026, May 2026)

12 marks *set across the last three attempts (3.4% of marks set). Question labels and marks are ICAI's; the one-line concept descriptions are app-written.*

Attempt	Question	Marks	Concept tested
Sep 2025	Q3(c)	4	Risks associated with the use of blockchain technology (SM section on risks of blockchain) (Theory)
Jan 2026	Q6(c) [or]	4	Securitisation instruments: name and characteristics of pass-through, pay-through (own debt securities) and strips structures (Theory)
May 2026	Q3(c)	4	Securitisation of NPAs: benefit to balance sheet versus regulatory and valuation challenges (Theory)

What follows, exactly as ICAI printed it in the AFM study material: (1) Test Your Knowledge theory questions, with the SM paragraph ICAI's answer points to; (2) every SM illustration with ICAI's solution, grouped by SM section; (3) Test Your Knowledge practical questions with ICAI's solutions.

⑦ Theory questions (SM Test Your Knowledge) with ICAI answers

Theory Q1

1. Differentiate between PTS and PTC.

ICAI answer: "Please refer paragraph 7" – SM paragraph 7 reproduced

7. SECURITIZATION INSTRUMENTS

On the basis of different maturity characteristics, the securitized instruments can be divided into following three categories:

7.1 Pass Through Certificates (PTCs)

As the title suggests, originator (seller of the assets) transfers the entire receipt of cash in the form of interest or principal repayment from the assets sold. Thus, these securities represent direct claim of the investors on all the assets that has been securitized through SPV.

Since all cash flows are transferred, the investors carry proportional beneficial interest in the asset held in the trust by SPV.

It should be noted that since it is a direct route any prepayment of principal is also proportionately distributed among the securities holders. Further, due to these characteristics on completion of

securitization by the final payment of assets, all the securities are terminated simultaneously.

Skewness of cash flows occurs in early stage if principals are repaid before the scheduled time.

7.2 Pay Through Security (PTS)

As mentioned earlier, since, in PTCs all cash flows are passed to the performance of the securitized assets. To overcome this limitation and limitation of single maturity there is another structure i.e. PTS.

In contrast to PTC in PTS, SPV debt securities are backed by the assets and hence it can restructure different tranches from varying maturities of receivables.

In other words, this structure permits desynchronization of servicing of securities issued from cash flow generating from the asset. Further, this structure also permits the SPV to reinvest surplus funds for short term as per their requirement.

While in Pass Through, all cash flows are passed on immediate basis, in PTS in case of early retirement of receivables the surplus cash can be used for short term yield. This structure also provides the freedom to issue several debt tranches with varying maturities.

7.3 Stripped Securities

Stripped Securities are created by dividing the cash flows associated with underlying securities into two or more new securities. Those two securities are as follows:

(i) Interest Only (IO) Securities

(ii) Principle Only (PO) Securities

As each investor receives a combination of principal and interest, it can be stripped into two portion of Interest and Principle.

Accordingly, the holder of IO securities receives only interest while PO security holder receives only principal. Being highly volatile in nature these securities are less preferred by investors.

In case yield to maturity in market rises, PO price tends to fall as borrower prefers to postpone the payment on cheaper loans. Whereas if interest rate in market falls, the borrower tends to repay the loans as they prefer to borrow fresh at lower rate of interest.

In contrast, value of IO's securities increases when interest rate goes up in the market as more interest is calculated on borrowings.

However, when interest rate due to prepayments of principals, IO's tends to fall.

Thus, from the above, it is clear that it is mainly perception of investors that determines the prices of IOs and POs

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ICAI answer: "Please refer paragraph 6" – SM paragraph 6 reproduced

6. PROBLEMS IN SECURITIZATION

Following are main problems faced in growth of Securitization of instruments especially in Indian context:

6.1 Stamp Duty

Stamp Duty is one of the obstacle in India. Under Transfer of Property Act, 1882, a mortgage debt stamp duty which even goes upto 12% in some states of India and hence impedes the growth of securitization in India. It should be noted that since pass through certificate does not evidence any debt only able to receivable, they are exempted from stamp duty.

Moreover, in India, recognizing the special nature of securitized instruments in some states has reduced the stamp duty on them.

6.2 Taxation

Taxation is another area of concern in India. In the absence of any specific provision relating to securitized instruments in Income Tax Act, experts' opinion differ a lot. Some are of the opinion that SPV as a trustee is liable to be taxed in a representative capacity whereas others are of view that instead of SPV, investors will be taxed on their share of income. Clarity is also required on the issues of capital gain implications on passing payments to the investors.

6.3 Accounting

Accounting and reporting of securitized assets in the books of originator is another area of concern. Although securitization is slated to be an off-balance sheet instrument but in true sense receivables are removed from originator's balance sheet. Problem arises especially when assets are transferred without recourse.

6.4 Lack of standardization

Every originator follows his own format for documentation and administration and hence lack of standardization is another obstacle in the growth of securitization.

6.5 Inadequate Debt Market

Lack of existence of a well-developed debt market in India is another obstacle that hinders the growth of secondary market of securitized or asset backed securities.

6.6 Ineffective Foreclosure laws

For many years efforts are on for effective foreclosure but still foreclosure laws are not supportive to lending institutions and this makes securitized instruments especially mortgaged backed securities less attractive as lenders face difficulty in transfer of property in event of default by the borrower.

Theory Q2

2. What are the main problems faced in securitisation especially in Indian context?

ICAI answer: "Please refer paragraph 6" — SM paragraph 6 reproduced

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